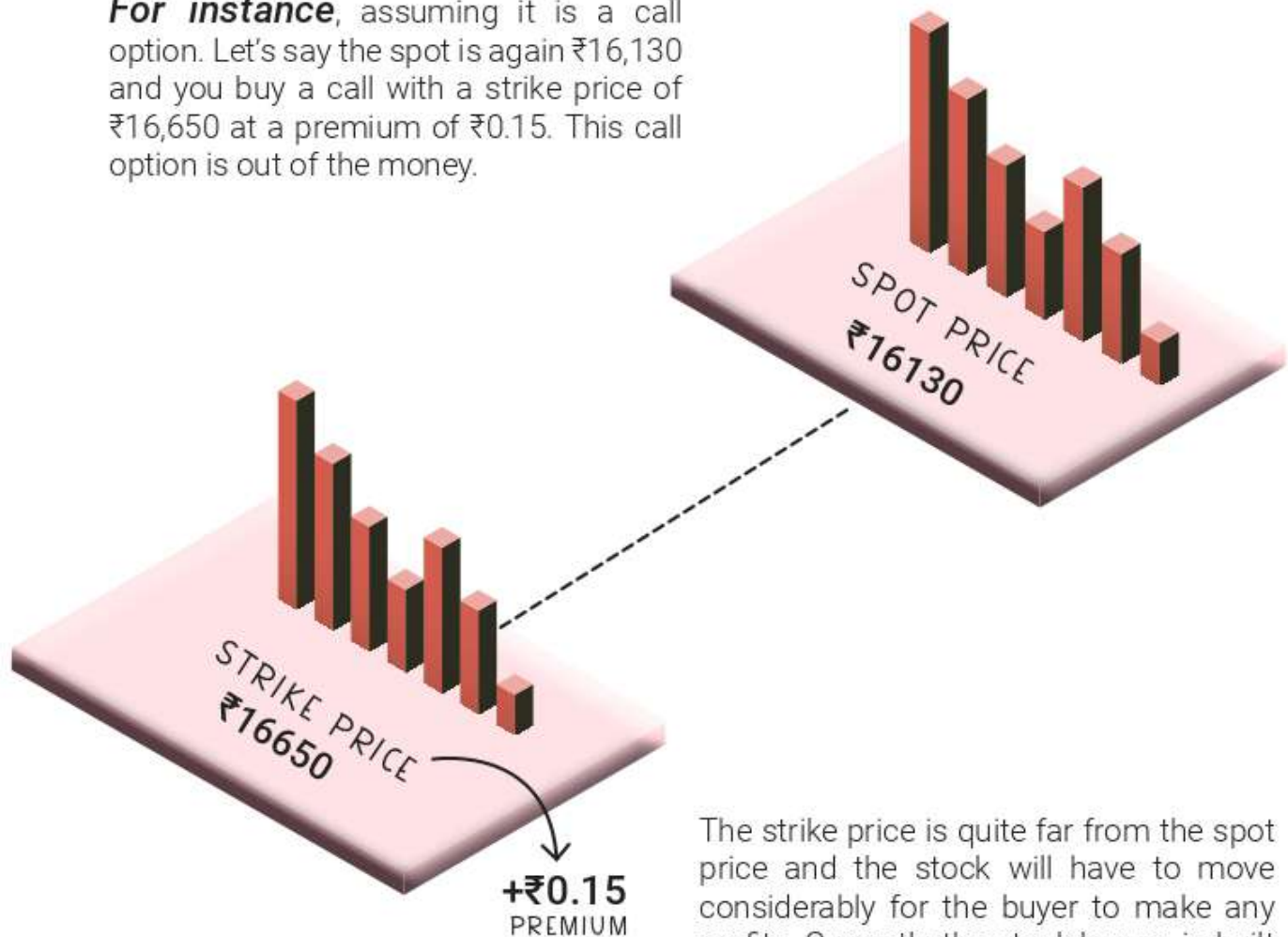


For instance, assuming it is a call option. Let's say the spot is again ₹16,130 and you buy a call with a strike price of ₹16,650 at a premium of ₹0.15. This call option is out of the money.



The strike price is quite far from the spot price and the stock will have to move considerably for the buyer to make any profits. Currently, the stock has no in-built payoff.

With this, we have understood the moneyness of Options. We can now understand if options are in the money, at the money or out of money. In the money options have the highest premium followed by At the money options. This will come in handy when we will learn about option strategies.